ContexAi GROUP

Economic Vibes — Morning Brief

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Morning Edition · PKT

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KSE-100 V	S&P 500 V	US 10Y / 2Y V	BRENT / WTI V	GOLD V	USD/PKR V
181,430	**▲ 0.62%**	**4.64 / 4.20**	**\$83.55 / \$78.18**	**\$4,350**	**277.85**
▼ 0.19% Fri · −347 pts	record close · Nasdaq +1.30% · Dow +0.28%	yields ease on weak jobs · Fed's Jul hold split 9-3	▲ 1.3% / 1.15% · Hormuz talks unresolved	+2.4% · silver \$63.54	interbank · steady

01 Five Things You Need To Know To Start Your Day

WALL STREET'S RECORD CLOSE The **S&P 500 rose 0.62% to a record 7,757.64**, the **Nasdaq jumped 1.30% to 26,690.62** and the **Dow added 0.28% (+151.83 pts) to 54,036.93** after July nonfarm payrolls unexpectedly fell 23,000 and May-June prints were revised down a combined 103,000, with traders reading the weakness as reducing the odds of further Fed tightening (CNBC, Washington Post). Sentiment: **risk-on, records intact**.

PSX TAKES A BREATHER The **KSE-100 slipped 0.19% (−346.57 pts) to 181,430.02**, snapping its four-session advance, as profit-taking hit heavyweight banks **MCB and UBL** even as **MARI, CNERGY and BOP** led index gainers; turnover eased to 716.04m shares (Rs34.1bn, both down double digits week-on-week) on broader-market breadth of 207 advancers versus 260 decliners (The News, Business Recorder). Sentiment: consolidation, not reversal.

OIL FIRMS ON HORMUZ STANDOFF **Brent settled up 1.3% at \$83.55** and **WTI rose 1.15% to \$78.18** as talks on reopening the Strait of Hormuz between Iran and Oman remained unresolved, while **OPEC+ confirmed a further 188,000 bpd increase for September**, its sixth straight monthly hike before a planned Q4 pause (Business Recorder, World Oil). Sentiment: **Hormuz premium intact**.

GOLD'S HAWKISH-DOVISH TUG OF WAR **Gold climbed to roughly \$4,350/oz (+2.4%)** and **silver rose to \$63.54 (+3.3%)** as the weak payrolls print revived haven demand, even though the Fed's **29 July decision was a divided 9-3 hold** at 3.50%-3.75%, with three dissenters pushing for a rate hike (Yahoo Finance, JM Bullion). Sentiment: **haven bid firm**.

SAUDI NON-OIL MOMENTUM HOLDS Saudi Arabia's **non-oil PMI held at 53.1 in July**, a fourth consecutive month of expansion even as export orders fell for a fifth straight month, while the **PIF continues rolling out its 2026-2030 strategy** toward tourism, entertainment and localisation (Business Recorder, Arab News). Sentiment: **steady Gulf backdrop**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

The **KSE-100 eased 0.19% (−346.57 pts) to close Friday at 181,430.02**, ending a four-session advance as profit-taking crept into heavyweight banks — **MCB and UBL** were the session's main laggards — even as **MARI, CNERGY and BOP** led gainers. Market breadth turned negative for the first time this week, with **207 advancers against 260 decliners** (25 unchanged) across the broader market, on ready-market turnover of 716.04m shares (−9.74%) worth Rs34.1bn (−15.41%). Unilever Pakistan Foods (+Rs139 to Rs25,350) and Thal Industries (+Rs70.49 to Rs1,476.87) topped the gainers' board, while PIA Holding Company (−Rs47.6) and Tandlianwala Sugar Mills (−Rs33.14) led decliners (**Business Recorder**). On the macro front, **CPI eased to 9.2% YoY in July** from 11.1% in June, and the **SBP held its policy rate at 11.5%** for a second straight meeting on 27 July; six-month KIBOR is tracking near 11.70–11.90% (EST.), broadly in line with the policy rate. **SBP-held FX reserves rose $13m to $17.04bn**, while the rupee held steady near 277.85/USD in interbank trade. Separately, the **EU's 16 July GSP+ compliance assessment** flagged continued concerns on labour rights and enforced disappearances, putting a portion of Pakistan's $8.96bn in EU-bound exports — more than 85% of which enter duty-free — under renewed scrutiny.

B. GCC & Middle East

OPEC+'s seven-member subgroup confirmed on 2 August a further **188,000 bpd increase for September**, a sixth consecutive monthly hike that completes the unwind of 2023's voluntary cuts before the group pauses further increases in the fourth quarter. Gulf non-oil momentum held up despite regional disruptions: **Saudi Arabia's non-oil PMI eased only slightly to 53.1** in July from 53.3 in June, a fourth straight month of expansion, even as export sales fell for a fifth consecutive month on elevated freight costs. Saudi's **Public Investment Fund continues deploying its 2026-2030 strategy**, chaired by Crown Prince Mohammed bin Salman, pivoting from rapid capital deployment toward localisation, Saudisation and long-term industrial capability, with tourism and entertainment prioritised within the diversification push. Oil itself firmed on the region's unresolved diplomacy: **Brent settled 1.3% higher at $83.55** and WTI rose 1.15% to $78.18 as talks on reopening the Strait of Hormuz between Iran and Oman remained unresolved.

C. Global Intelligence

Wall Street closed out the week at a record: the **S&P 500 rose 0.62% to 7,757.64**, the Nasdaq jumped 1.30% to 26,690.62 and the Dow added 0.28% to 54,036.93, after **July payrolls unexpectedly fell 23,000** and May-June prints were revised down a combined 103,000, pulling the 10-year Treasury yield to 4.64% and the 2-year to 4.20%. The rally sits awkwardly against the Fed's own tone: its **29 July decision held rates at 3.50%-3.75% on a divided 9-3 vote**, with three regional presidents dissenting in favour of a hike, and year-end dot projections still clustered between 3.6% and 4.1% — odds of a September rate hike eased to 42% from 58% on the jobs data, but remained a live risk. Gold rallied to roughly **$4,350/oz (+2.4%)** and silver added to $63.54 on the same haven bid. Washington's trade agenda keeps moving too: a 50% Section 338 tariff on Canadian-origin dairy, alcohol and motor-vehicle exports is set to take effect 19 August, now nine days out.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	The European Commission's **16 July GSP+ compliance assessment** pressed Pakistan to show implementation progress on labour rights and enforced disappearances, with India's newly concluded zero-tariff EU FTA threatening to undercut Pakistan's textile exports from 2027 if benefits are not retained.	Textiles, Apparel, Trade	**Wins:** compliant exporters retaining zero-duty access to the EU for Pakistan's $8.96bn in annual shipments. **Loses:** textile and apparel makers facing renewed scrutiny risk, and eroding relative advantage once India's tariff-free EU access takes hold.
GCC — Saudi/ OPEC+	**OPEC+ added a further 188,000 bpd for September**, its sixth straight monthly hike before a Q4 pause, while Saudi's **PIF continues rolling out its 2026-2030 strategy** toward localisation and tourism-led diversification.	Energy, Sovereign Wealth, Tourism	**Wins:** PIF-backed tourism and entertainment ventures, and state budgets banking on steady export volumes. **Loses:** pure oil-price bulls, as added OPEC+ supply caps how far the Hormuz risk premium can run; foreign contractors facing tighter localisation requirements.
Global — US/ Canada	A 50% US **Section 338 tariff on Canadian dairy, alcohol and motor-vehicle exports** takes effect 19 August, now nine days out, covering roughly $20bn of trade, while **Pakistan's negotiated 19% reciprocal US tariff** remains comparatively favourable.	Trade, Dairy/Alcohol/ Autos, Textiles	**Wins:** Pakistani textile and apparel exporters retaining a relative tariff edge over higher-taxed peers. **Loses:** Canadian dairy, alcohol and auto exporters, and US importers absorbing the 19 August cost step-up.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.	PIVOT EST.	RESISTANCE EST.
180,000	**181,430**	**181,780**
psychological handle and first floor; deeper support at 178,500	Friday's close	Thursday's close; then the 2026 high of 189,167 set in January

Desk view: Friday's 0.19% pullback looks like digestion, not a reversal — the KSE-100 is still up more than 3% from its 20 July close of 175,928, and the pressure was concentrated in a handful of banking heavyweights (MCB, UBL) rather than broad-based selling, with E&P and cement names (MARI, CNERGY, BOP) still finding bids. **Oil is the swing factor to watch:** Brent's climb back toward $83 on an unresolved Hormuz standoff, even with OPEC+ adding supply, keeps a lid on Pakistan's disinflation narrative if it persists into next week. Globally, the gap between a hawkish-leaning Fed (a split 9-3 hold on 29 July, three dissents favouring a hike) and Friday's weak payrolls print leaves the rate path unusually contested into September — a tension equity and gold markets are pricing very differently right now. Watch 180,000 as first support, with 178,500 as the deeper floor; a close back above 181,780 reopens the path toward fresh 2026 highs. All levels are indicative desk estimates, not recommendations.